

WOMEN AND YOUTH EMPOWERMENT PROGRAMME (WYEP)

POULTRY VALUE CHAIN INVESTMENT PLAN

SUBMITTED BY

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1953

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 Temporary Address: No.9B Idogido Street, Okene, Kogi State.

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 Our Ref: ..... Your Ref: ..... Date: .....

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## **Executive Summary**

(We suggest you complete this section after you have completed the other sections of the Business Plan)

Table egg production via the process of raising poultry layer birds from point of lay for the purpose of producing table eggs and birds using battery cage.

Nigeria has an annual demand for poultry value chain ranging between demand of birds and chickens (Poultry production) household, hotels fast foods, guest houses, food vendors and other hospitality related entities.

Eggs and broiler meat are rich sources of protein with ever-growing demand, in pullet and broiler farming, the point of lay purchased from reputed hatchery/company are raised on specially formulated feeds. Pullets are raised for period of 20 – 24 weeks before they start laying eggs which will last for 72 weeks before the birds are culled. Both rural and semi-urban areas are suitable for this success of poultry largely depends on good management practices.

The proposed grant of N2, 000,000 (two million naira only) from Kogi State APPEALS will be properly used in order to breach low poultry product in Kogi State and Nigeria at large.

## **Business Profile**

1. **Name of Entrepreneur:**      **HUZEIMAT ONIZE BELLO**
2. **Enterprise:**      **Poultry Farm**
3. **Location:**      **Okene, Kogi State**
4. **LGA:**      **Okene**
5. **State:**      **Kogi State**
6. **Size of Land to be Use:** **100 X 100**
7. **Description of organizational structure and management team**

The enterprise will be managed by the

1.    Manager (Owner) who will have considerable experience in poultry production, procure highly quality feed formation for desirable nutrition.
2.    An account officer who will handle the account of the business
3.    Animal Scientist
4.    Cleaners; and
5.    Security officer.

## **Description of Business**

(Provide a brief description of what your business will do or what you do)

In this proposed poultry business, pullets will be housed, reared and raised using battery cage system. With ever increasing demand for white meat and egg as source of protein, poultry farming is largely and generally a profitable venture. The pullets will be raised for a period of 20 – 24 weeks before egg laying starts, which will for 72 weeks before the bird could be culled (sold out).

Our business (poultry farming) will have the potential of becoming one of the largest value chains for employment in the agricultural sector. It will also be one of the most common agricultural enterprise and chicken and egg production which is the most popular type in poultry farming.

Also, our product will serve as one of the means of satisfying the increased demand for animals protein, as animal protein (chicken meat) is a cheap source for protein with low cholesterol value. Our product will be economically rewarding to any individual or bodies as no religion or tradition forbid poultry rearing and its consumption in Nigeria.

## **Vision**

(Sum up your business goal)

Our vision is to provide one stop location for accessing excellent and high quality poultry meat and egg products in a desirable and conducive environment while offering products at fair and best possible prices

## **Mission**

(Itemize your mission that will drive the Vision)

Our mission is to exceed the customer's expectations by providing high quality services products and exceptional customer care services in a loving and caring way.

## **Business Objectives**

What do you want to achieve in your first year of business? (Use as many fields as is applicable and add more if you need to.)

For example - business goals could include turnover of #100,000 or trading at breakeven.

- To achieve the sales growth targets by the sixth month and by the end of year one, increasing in two years by meeting sales goals
- To win the hearts and tastes of our beloved customers by establishing a brand images of the company
- To provide quality sales services and products at fair and best possible prices

Where do you see your business in 3-5 years' time?

In 3 – 5 years, i see my poultry farm business becoming the best and most hygienic poultry producer (layers and broilers) in the state plying the National Standard for food.

## **Product and Services**

(An overview of your product or services, distinguishing features and the benefits)

This agribusiness will have to start producing broilers (meat production) starting from a day old chick or point of lay from 0 – 8 weeks till maturity for market disposal, then bring in layers also and feed them up to 21 weeks before laying, which produce good quality eggs.

We are also going to offer fertilizers in form of chicken manure. This is mostly used in vegetable and as an ingredient for feed in fish farming.

Our poultry farm shall produce high quality, contaminated free chickens and the freshest eggs to satisfy the taste of our beloved customers

➤ Main products

- (a) Eggs
- (b) Live chicken

➤ By products

- (a) Chicken droppings

➤ Future products: We have big plans for the future,

- (a) We plan on supplying cracked egg shells for some detergent companies for use. These special detergents are used in washing basins and pots.
- (b) Another thing we have planned for the future is the of processes chicken meat

## **Market Analysis**

(Identify the target market for your product, age range, expected number, location)

Generally, the demand for animal protein is low in some part of Nigeria, this is largely due to factors related to economic statuses of most low income families in the country. However, poultry industries in Nigeria poised to make available cheap source of animal protein to low income earners in Urban and Rural communities through short term production and supply of affordable poultry meat and eggs into Nigerian market.

So, with this, there is a huge opportunity for the upcoming young entrepreneurs. Our target marketers are immediate environment, retailers, eateries and caterers by providing poultry products that are readily available and affordable.



## **Marketing Plan**

(Identify your marketing plans and how to win the market)

We are aware that most reasons accompanied with lack of proper profit from some poultry farmers are due to inability to sell of chickens and eggs at appropriate time due to lack of marketing strategy; we are going to employ a successful strategy by;

1. Make advertisement of our products through bill board 5meters from the farm and with my business card and flyers
2. Set up a discount rate for high purchase
3. Make adverts on social media e.g Facebook and Whatsapp
4. Engage in direct marketing

### **Competitor Analysis**

(Identify your competitors and your strategies to counter them)

Being an emerging poultry business, it might take time to attract big customers in the industry. The strategies we would employ to cripple competition would be by producing high quality and affordable eggs to retailers, creating a good delivery system and giving discounts to clients who buy in large quantities.

## **Sales and Distribution Channels**

(How do you intend getting across to your target market?)

We will have to make a very sound connections between our markets (products) and customers by: -

- ✓ Improving the image of the business by branding the business and its product as well providing excellent customer service and prompt delivery
- ✓ Improving awareness of the farm by advancing publicity having presence on the internet by developing website and other marketing efforts
- ✓ The farm will embark on direct sales in which the sales representatives will be able to efficiently educate business owners about specific products and services thereby building long lasting relationships.

## Management and Operations

(Outline your management and operational plans)

In achieving the aim and objectives of a poultry business, proper and sound management need to be taken care of, it is the life wire of the organization of other resources, so we need to start with hiring services and employment for highly skilled and willing employed personnel for the following positions.

1. Hiring services: - They are responsible for constructions like the poultry pen house, the fencing, water tank supplier, veterinarians, labourers for weeding the surrounding
2. Employment positions
  - a. Manager (Owner) – responsible for poultry keeping and management
  - b. Security agents
  - c. Labourers
3. Operational plan:
  - a. Production plan
  - b. Vaccination schedule
  - c. Feeding estimation plan
  - d. Cleaning routine
4. Production plan: - These has to do with provision of all the start ups e.g
  - a. Construction of pen
  - b. Purchase of poultry materials
  - c. Farm set up
  - d. Purchase of feed
  - e. Purchase of birds

**TABLE: 1****Personnel**

(Outline the personnel you need, qualification and experience)

| S/N | Personnel       | No. | Qualification | Years of Experience | Remark |
|-----|-----------------|-----|---------------|---------------------|--------|
| 1   | Farm manager    | 1   | HND           | 3                   |        |
| 2   | Account officer | 1   | ND            | 2                   |        |
| 3   | Vetenarian      | 1   | PHD           | 10                  |        |
| 4   | Security        | 1   | SSCE          | 15                  |        |
| 5   | Cleaner         | 2   | SSCE          | 2                   |        |
|     |                 |     |               |                     |        |
|     |                 |     |               |                     |        |
|     |                 |     |               |                     |        |
|     |                 |     |               |                     |        |
|     |                 |     |               |                     |        |

**TABLE 2:****SWOT ANALYSIS**

| <b>S/N</b> | <b>Strength<br/>(Internal)</b>                                                  | <b>Weakness<br/>(Internal)</b>                                                   | <b>Opportunity<br/>(External)</b>                        | <b>Threat<br/>(External)</b>       |
|------------|---------------------------------------------------------------------------------|----------------------------------------------------------------------------------|----------------------------------------------------------|------------------------------------|
| 1.         | Produce high quality eggs enriched with proteins                                | Capital intensive.<br>Starting poultry business requires a large capital funding | Expansion into large scale production of by-products     | More competition                   |
| 2.         | Relatively good infrastructure systems                                          | Outbreak of diseases can ruin entire business in a go                            | Export to neighbouring town                              | High feed ingredients prices       |
| 3.         | Eggs and chicken are not seasonal products and can be eaten anytime of the year | The smell can be quite disturbing                                                | A large and successful poultry will ensure food security | Avian diseases                     |
| 4.         | Poultry are environmentally friendly                                            | Lack of access to right vaccine                                                  |                                                          | Threat of import of frozen chicken |

**TABLE 3:****PROBLEMS AND SOLUTION ANALYSIS**

| <b>S/N</b> | <b>Problem</b>                                                   | <b>Causes</b>                                                                                                                                                                                  | <b>Solution</b>                                                                                                                                                                                                                         | <b>Action by</b>                                     |
|------------|------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------|
| 1.         | Financial Problem                                                | This is the most important problem which I believe affect more than 80% of farmers globally. In one area or the other, capital contributes to the success of your farm.                        | The only possible solution to this problem i.e. poultry farming, is getting assistance from government, government should set up a committee on how to help those that have interest on farming activities.                             | Government grants etc.                               |
| 2.         | Lack of information of a poultry farming system                  | This problem is as bad as the first point. If you want to succeed in life in any business or in anything at all, you need the right information about that thing                               | The only solution to this type of problem is getting information from the reliable source                                                                                                                                               | Carefully acquired information by the business owner |
| 3.         | Diseases and parasites is a great poultry farming system problem | Diseases and parasites can cause losses in egg production. Some breeds of birds are resistance to certain diseases which make them superior to those that are easily infected by many diseases | Here you need to be observant; you might not be able to identify any symptoms in your poultry farming.<br><br>Not every disease gives any symptom, but in case you see strange sign in your farm inform your veterinary doctor at once. | Business owner needs to be observant                 |

TABLE 4:

## PRODUCTIVE ASSETS/INPUT (POULTRY)

| S/n      | Description of Items         | Quantity  | Unit Cost (N) | Amount (N)        |
|----------|------------------------------|-----------|---------------|-------------------|
| <b>A</b> | <b>Productive Asset</b>      |           |               |                   |
|          | Land                         | 100 x 100 |               | 200,000           |
|          | Pen House                    |           |               | 200,000           |
|          | Sumec generator (1.8 kva)    | 1         | 80,000        | 80,000            |
|          | Point of lay layers          | 200       | 1,300         | 260,000           |
|          | Day old broilers             | 150       | 340           | 51,000            |
|          | Battery cage                 | 3         | 80,000        | 240,000           |
|          | Nipple drinkers              | 250       | 200           | 50,000            |
|          | Heating lamps                | 8         | 8,500         | 68,000            |
|          | Crates/egg tray              | 300       | 35            | 10,500            |
|          | Waste disposal system        | -         | -             | 20,000            |
|          | Wheel barrows                | 2         | 9,500         | 19,000            |
|          | <b>Total</b>                 |           |               | <b>1, 198,000</b> |
| <b>B</b> | <b>Input</b>                 |           |               |                   |
|          | Medicine/Vaccine             |           |               | 15,000            |
|          | Feed                         |           |               | 250,000           |
|          | Water sourcing               |           |               | 50,000            |
|          | Sanitizers                   |           |               | 4,000             |
|          | Gloves and Overall           |           |               | 8,000             |
|          | Cleaning equipment and tools |           |               | 5,000             |
|          | Poultry Utensils             |           |               | 15,000            |
|          | <b>Total</b>                 |           |               | <b>347,000</b>    |
|          | <b>Grand Total</b>           |           |               | <b>1,545,000</b>  |

Table 5:

## LABOUR INPUT (POULTRY)

| S/<br>n | Activities      | Quantity<br>(Mdays) | Unit Cost<br>(N)<br>Per month | Amount (N)      |
|---------|-----------------|---------------------|-------------------------------|-----------------|
| 1       | Farm Manager    | 1                   | 50, 000                       | 50,000          |
| 2       | Account officer | 1                   | 36, 000                       | 36,000          |
| 3       | Vetenarian      | 1                   | 40, 000                       | 40,000          |
| 4       | Security        | 1                   | 20, 000                       | 20,000          |
| 5       | Cleaner         | 2                   | 13, 000                       | 26,000          |
|         | <b>Total</b>    |                     |                               | <b>172, 000</b> |

**Note:** You could add columns or rows as may be require



## LABOUR INPUT (POULTRY)

### FINANCIAL DETAILS

1. INCOME AND EXPENDITURE

2. CASH FLOW ANALYSIS

**TABLE 6: CASH FLOW PROJECTION**

| DESCRIPTION                         | YEAR 0    | YEAR 1    | YEAR2     | YEAR 3    | YEAR 4    | YEAR 5     |
|-------------------------------------|-----------|-----------|-----------|-----------|-----------|------------|
| <b>Inflow</b>                       |           |           |           |           |           |            |
| Equity                              |           | 2,000,000 | 2,400,000 | 2,872,000 | 3,428,960 | 4,086,173  |
| Grant (IDA)                         | 2,000,000 |           |           |           |           |            |
| Sales                               |           | 2,300,000 | 2,944,000 | 3,768,320 | 4,823,450 | 6,174,015  |
| Other Revenue                       |           | 200,000   | 256,000   | 327,680   | 419,430   | 536,871    |
| Reinvestment                        |           | -         |           |           |           |            |
| <b>Total Inflow</b>                 |           | 4,500,000 | 5,600,000 | 6,968,000 | 8,671,840 | 10,797,059 |
| <b>Outflow</b>                      |           |           |           |           |           |            |
| Total Variable Cost                 |           | 400,000   | 512,000   | 655,360   | 838,861   | 1,073,742  |
| Fixed Cost Overhead                 |           | 230,000   | 230,000   | 230,000   | 230,000   | 230,000    |
| Fixed Asset (from Asset register)   |           | 500,000   | 600,000   | 720,000   | 864,000   | 1,036,800  |
| Equipment (15% annual Depreciation) |           | 75,000    | 90,000    | 108,000   | 129,600   | 155,520    |
| Other Expenses                      |           | 120,000   | 153,600   | 196,608   | 251,658   | 322,123    |
| <b>Total Outflow</b>                |           | 1,325,000 | 1,585,600 | 1,909,968 | 2,314,119 | 2,818,185  |
| <b>Net Cash Flow</b>                |           | 3,175,000 | 4,014,400 | 5,058,032 | 6,357,721 | 7,978,874  |
| Cash Brought Forward                |           | -         | 1,905,000 | 3,551,640 | 5,165,812 | 6,914,120  |
| Reinvestment (40%)                  |           | 1,270,000 | 2,367,760 | 3,443,869 | 4,609,413 | 5,957,198  |

**TABLE 7:****FINANCIAL ANALYSIS**

| YEAR | TOTAL COST (N) | SALES (N)  | PROFIT (N) | DISCOUNTED FACTOR (13.28%) | NET PRESENT VALUE (NPV) | DISCOUNTED COST (N) 2% | DISCOUNTED REVENUE (N) |
|------|----------------|------------|------------|----------------------------|-------------------------|------------------------|------------------------|
| 1    | 1,325,000      | 2,300,000  | 200,000    | 2,500,000                  | 1,175,000               | 2,000,000              | 59%                    |
| 2    | 1,585,600      | 2,944,000  | 256,000    | 3,200,000                  | 1,614,400               | 2,400,000              | 67%                    |
| 3    | 1,909,968      | 3,768,320  | 327,680    | 4,096,000                  | 2,186,032               | 2,872,000              | 76.1%                  |
| 4    | 2,314,119      | 4,823,450  | 419,430    | 5,242,880                  | 2,928,761               | 3,428,960              | 85%                    |
| 5    | 2,818,185      | 6,174,015  | 536,871    | 6,710,886                  | 3,892,701               | 4,086,173              | 95.3%                  |
|      | Total          | 20,009,785 | 1,739,981  | 21,749,766                 | 11,796,894              | 14,787,133             |                        |

**ROI ANALYSIS**

YEAR 1=  $1,175,000 / 2,000,000 \times 100 = 59\%$

YEAR 2=  $1,614,400 / 2,400,000 \times 100 = 67\%$

YEAR 3=  $2,186,032 / 2,872,000 \times 100 = 76.1\%$

YEAR 4=  $2,928,761 / 3,428,960 \times 100 = 85\%$

YEAR 5=  $3,892,701 / 4,086,173 \times 100 = 95.3\%$

**TABLE 8: RISK ASSESSMENT AND MITIGATION MEASURES**

**Environmental and Social Management Plan**

| Consequences of project activities                 | Potential Impacts                     | Mitigation Measure                                                                      | Schedule of Implementation | Monitoring Indicators                                              | Authority Responsible                  | Costs (N) |
|----------------------------------------------------|---------------------------------------|-----------------------------------------------------------------------------------------|----------------------------|--------------------------------------------------------------------|----------------------------------------|-----------|
| <b>Pre-Implementation Phase</b>                    |                                       |                                                                                         |                            |                                                                    |                                        |           |
| Land preparation                                   | Dust during construction              | Wetting of site                                                                         | Daily during construction  | Wet land                                                           | Business Owner,<br>Service Provider    | 5,000     |
| <b>Implementation Phase</b>                        |                                       |                                                                                         |                            |                                                                    |                                        |           |
| Environmental                                      |                                       |                                                                                         |                            |                                                                    |                                        |           |
| Pollution of the environment (water, Air and Soil) | Offensive odour from the birds faeces | Provision of PPE,<br>Nose mask.<br><br>Regular evacuation of poultry waste from the Pen | Continuous                 | PPE provided and used.<br><br>Poultry pen always looking very neat | Service provider<br><br>Business Owner | 10,000    |
| <b>Post-Implementation Phase</b>                   |                                       |                                                                                         |                            |                                                                    |                                        |           |
| Enormous production of .....                       |                                       |                                                                                         |                            |                                                                    |                                        |           |

## WORK PLAN

**TABLE 10: IMPLEMENTATION PLAN**

| S/N | WORK DESCRIPTION                                             | MONTH AND YEAR |     |      |            |     |     |      |     |      |     | NOV | DEC |
|-----|--------------------------------------------------------------|----------------|-----|------|------------|-----|-----|------|-----|------|-----|-----|-----|
|     |                                                              | JAN            | FEB | MAR  | APR        | MAY | JUN | JULY | AUG | SEPT | OCT |     |     |
| 1   | Pre-implementation Activities / Site Selection               | 2020           |     |      |            |     |     |      |     |      |     |     |     |
| 2   | Procurement Process                                          |                |     | 2020 |            |     |     |      |     |      |     |     |     |
| 3   | Selection and awarding of contract to Service Provider       |                |     | 2020 |            |     |     |      |     |      |     |     |     |
| 4   | Flooring and plastering of Poultry house                     |                |     |      | 2020       |     |     |      |     |      |     |     |     |
| 5   | Supply of productive assets and Equipment                    |                |     |      | 2020       |     |     |      |     |      |     |     |     |
| 6   | Supply of Inputs e.g Chicks at point of lay, Feed, Drugs etc |                |     |      | 2020       |     |     |      |     |      |     |     |     |
| 7   | Feeding and vaccination of birds                             |                |     |      | Continuous |     |     |      |     |      |     |     |     |
| 8   | Marketing and sale of eggs                                   |                |     |      | Continuous |     |     |      |     |      |     |     |     |
| 9   | Selling of spent layers                                      |                |     |      |            |     |     |      |     | 2021 |     |     |     |

